

BUSINESS PRACTICE AND MANAGEMENT

Unit-II: Management

Comprehensive Study Notes

UNIT-II: MANAGEMENT

1.1 What is Management?

Management is the process of planning, organizing, directing, and controlling resources (human, financial, physical, and informational) to achieve organizational goals efficiently and effectively.

Definitions:

Author	Definition
Mary Parker Follett	"Management is the art of getting things done through people."
Henry Fayol	"To manage is to forecast and plan, to organize, to command, to coordinate and to control."
Peter Drucker	"Management is a multi-purpose organ that manages a business, manages managers, and manages workers and work."
Harold Koontz	"Management is the art of getting things done through and with people in formally organized groups."
F.W. Taylor	"Management is knowing exactly what you want men to do and then seeing that they do it in the best and cheapest way."

1.2 Concept of Management

Key Concepts in Management:

+-----+	+-----+
MANAGEMENT AS	MANAGEMENT AS
AN ART	A SCIENCE
+-----+	+-----+
+-----+	+-----+
- Practical	- Systematic
- Personalized	- Organized
- Creative	- Based on Principles
- Action-oriented	- Verifiable
+-----+	+-----+

1.3 Management as an Art, Science, and Profession

Aspect	Management as Art	Management as Science	Management as Profession
Definition	Practical application of skills	Systematic body of knowledge	Specialized discipline
Nature	Personalized, creative	Structured, organized	Formal, regulated
Example	A manager using intuition to solve problems	Using principles of management	Certified managers
Key Feature	Practical knowledge	Theoretical knowledge	Professional ethics

1.4 Importance of Management

Importance	Description
Achieves Goals	Helps organizations achieve their objectives
Optimum Resource Utilization	Ensures efficient use of resources
Reduces Costs	Minimizes wastage and reduces costs
Survival and Growth	Ensures long-term survival and growth
Employee Motivation	Motivates employees for better performance
Innovation	Encourages creativity and innovation
Social Benefits	Provides jobs and contributes to society
Coordination	Ensures coordination between different departments

Competitive Advantage	Creates competitive advantage
Adaptation	Helps adapt to changing environment

2.1 The Five Functions (Fayol's Framework)

Henry Fayol identified five primary functions of management:

+-----+	+-----+
PLANNING	ORGANIZING
(Forecast and Plan)	(Structure &
	Resources)
+-----+	+-----+
+-----+	+-----+
COMMANDING	COORDINATING
(Directing)	(Unifying efforts)
+-----+	+-----+

2.2 Detailed Functions (Modern Approach)

Function	Description	Key Activities
Planning	Deciding what to do and how to do it	Setting objectives, Forecasting, Strategy formulation
Organizing	Arranging resources to achieve goals	Designing structure, Assigning tasks, Allocating resources
Staffing	Selecting and developing employees	Recruitment, Selection, Training, Development
Directing	Leading and motivating employees	Leadership, Motivation, Communication
Controlling	Monitoring and correcting performance	Setting standards, Measuring performance, Corrective action
Coordinating	Synchronizing activities	Integration of departments, Harmonizing efforts

2.3 Planning

Definition: Planning is the process of setting objectives and determining the best way to achieve them.

2.4 Organizing

Definition: Organizing is the process of arranging resources and activities to achieve objectives.

Steps in Organizing:

Step	Description
Division of Work	Breaking work into smaller tasks
Departmentalization	Grouping related activities
Assigning Tasks	Allocating work to individuals
Authority and Responsibility	Defining authority relationships
Coordination	Ensuring harmony between departments

2.5 Staffing

Definition: Staffing is the process of filling and keeping positions in the organization structure.

Steps in Staffing:

Step	Description
Manpower Planning	Estimating human resource needs
Recruitment	Attracting potential employees
Selection	Choosing the right candidates
Training	Developing employee skills

Performance Appraisal	Evaluating employee performance
Promotion	Advancing deserving employees

2.6 Directing

Definition: Directing is the process of guiding, motivating, and supervising employees to achieve organizational goals.

Elements of Directing:

Element	Description
Leadership	Influencing employees to work willingly
Motivation	Encouraging employees to perform
Communication	Exchanging information
Supervision	Overseeing employee work

2.7 Controlling

Definition: Controlling is the process of monitoring performance and taking corrective action.

3.1 Fayol's 14 Principles of Management

Henry Fayol developed 14 principles of management:

No.	Principle	Description
1	Division of Work	Work should be divided among specialists
2	Authority and Responsibility	Authority and responsibility go together
3	Discipline	Employees must respect rules and regulations
4	Unity of Command	Each employee should report to only one manager
5	Unity of Direction	One head, one plan for each activity
6	Subordination of Individual Interest	Organizational interest above personal interest
7	Remuneration	Fair payment to employees
8	Centralization	Degree of authority concentration
9	Scalar Chain	Clear hierarchy of authority
10	Order	Right person in the right place
11	Equity	Fair treatment of all employees
12	Stability of Tenure	Job security and stability
13	Initiative	Encouraging creativity and innovation
14	Esprit de Corps	Team spirit and harmony

3.2 Taylor's Principles of Scientific Management

Principle	Description
Science, Not Rule of Thumb	Use scientific methods instead of intuition
Harmony, Not Discord	Cooperation between management and workers
Cooperation, Not Individualism	Teamwork and collaboration
Maximum Output	Focus on productivity
Development of Workers	Training and development of employees

4.1 The Management Process

The **management process** is a continuous cycle of planning, organizing, leading, and controlling.

4.2 Levels of Management

Level	Position	Responsibilities
Top Level	CEO, Directors, Presidents	Strategic decisions, Policy formulation
Middle Level	Department Heads, Branch Managers	Implementation, Coordination
Lower Level	Supervisors, Foremen	Supervision, Execution

4.3 Managerial Skills

Skill	Description	Required at
Conceptual Skills	Ability to think strategically	Top Level
Human Skills	Ability to work with people	All Levels
Technical Skills	Ability to use tools and techniques	Lower Level

Questions

Short Answer Questions (2-5 Marks)

1. What is management? Define it.
2. What are the functions of management?
3. What is the importance of management?
4. What are Fayol's principles of management?
5. What is planning in management?
6. What is organizing in management?
7. What is staffing in management?
8. What is directing in management?
9. What is controlling in management?
10. What are the levels of management?

Long Answer Questions (10 Marks)

1. Explain the meaning, definition, and importance of management.
2. Explain the functions of management in detail.
3. Explain Fayol's 14 principles of management.
4. Explain the management process with a diagram.
5. Explain the different levels of management and managerial skills required.
6. What is management as an art, science, and profession?

Objective Questions (1 Mark)

1. Management is: (a) An art (b) A science (c) Both (d) None
2. Who is called the Father of Modern Management? (a) F.W. Taylor (b) Henry Fayol (c) Peter Drucker (d) Koontz
3. Planning is: (a) First function (b) Last function (c) Middle function (d) None
4. Controlling is: (a) First function (b) Last function (c) Middle function (d) None

5. Unity of command means: (a) One boss (b) One plan (c) Both (d) None

QUICK REVISION

Functions of Management

Management Functions

Fayol's 14 Principles Summary

1. Division of Work
2. Authority and Responsibility
3. Discipline
4. Unity of Command
5. Unity of Direction
6. Subordination of Individual Interest
7. Remuneration
8. Centralization
9. Scalar Chain
10. Order
11. Equity
12. Stability of Tenure
13. Initiative
14. Esprit de Corps

Levels of Management

Level	Skills Required
Top	Conceptual
Middle	Human
Lower	Technical

End of Unit-II Notes